

DEAL INTELLIGENCE

Spear Street's \$50.5M Buy Shows Office Liquidity Is Back Only at the Right Basis

A new-construction, fully leased asset trades at a price that lets the buyer underwrite downside before upside.

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A source-grounded Light Tower Insight.

The conventional reading of Spear Street Capital's \$50.5 million purchase of 76 Eighth Avenue is that office liquidity has returned to Lower Manhattan. The conventional reading is not wrong. It is incomplete.

The building is a 2022-vintage, 10-story, 35,620-square-foot office and retail asset. It is fully leased. Wells Fargo occupies the retail space. The seller, G4 Capital Partners, built it and held it for four years. The buyer is a San Francisco-based firm with a track record of buying into dislocation. JLL arranged \$27.7 million in acquisition financing through DekaBank.

Those facts are all true. They are also the least revealing part of the transaction.

What matters is the basis. At \$50.5 million, the price works out to roughly \$1,418 per square foot. That is not a distressed number. It is not a peak-cycle number either. It is a number that reflects where office pricing has settled for assets that meet a narrow set of conditions: new construction, full occupancy, a credit tenant in the retail component, and a sponsor who can close without a financing contingency that depends on the same banks that have been shrinking their CRE books.

The \$27.7 million loan from DekaBank gives the leverage picture. At roughly 55 percent loan-to-cost, the debt is conservative by pre-2021 standards but realistic for 2026. The lender is not a domestic bank. It is a German institution that has been selective in U.S. office lending. That selectivity is the point. DekaBank is not underwriting a recovery. It is underwriting a stabilized asset with a known income stream and a sponsor who can absorb the equity risk if the recovery takes longer than expected.

This is the kind of transaction that appears when sellers need liquidity, buyers demand a basis reset, and lenders are willing to finance only assets that already have a credible exit. G4 Capital Partners is not selling because it lost faith in the building. It is selling because the market finally produced a bid at a price that lets it recycle capital. The buyer is not buying

because it expects a quick rebound. It is buying because the basis gives it room to be patient.

The distinction matters. Office liquidity has not returned broadly. It has returned for a specific cohort of assets: those built or repositioned recently, leased to tenants with balance-sheet credibility, and priced at levels that let the buyer underwrite downside before upside. For every 76 Eighth Avenue, there are dozens of older, partially vacant office towers in Manhattan that cannot find a bid at any price that a lender would finance.

The financing structure reinforces the selectivity. DekaBank provided acquisition financing, not construction or bridge debt. That means the asset was already producing income sufficient to service the debt. The lender did not need to underwrite a lease-up or a rent roll. It underwrote a cash-flow statement. That is a narrower underwriting than what the market saw in 2019, when lenders would finance pro-forma assumptions on buildings that had not yet stabilized.

For owners with maturing loans on older office assets, the lesson is uncomfortable. The market is not rewarding story. It is rewarding structure. A building that needs leasing, capital improvements, or a rent reset will not attract the same debt terms or buyer depth. The gap between the assets that trade and the assets that sit is widening, and it is not closing quickly.

For lenders, the deal is a reminder that office debt is available but only for the right combination of vintage, tenancy, and sponsor equity. DekaBank is not alone in this approach. Other non-bank lenders and a handful of foreign institutions are writing office loans, but they are writing them at lower leverage and higher spreads than the pre-2021 market. The cost of debt is no longer the primary constraint. The availability of debt for assets that do not meet the narrow criteria is the real constraint.

For buyers, the transaction offers a template. The basis is the variable that determines whether the deal works. Spear Street is not betting on a cap rate compression. It is betting that the current income stream, financed conservatively, will produce a return that justifies the equity. If the market improves, the upside is real. If the market does not improve, the downside is contained.

The next phase of the market will not be defined by who owns the best story. It will be defined by who controls the cheapest capital and who is willing to accept a basis that reflects the current cost of that capital. Spear Street's purchase is not proof that office is back. It is proof that repriced office can trade.